MULUND COLLEGE OF COMMERCE (AUTONOMOUS)

Programme: School of Business- Business Administration **Class: TYBBA** **Semester: V**

Exam: External **Name of the Subject: Corporate Finance**

Date of Exam: 03-10-2025 **Marks: 60** **Time:2 hours**

Instructions: 1) Figures to the right indicate maximum marks.
2) All Questions are Compulsory

Q1		**Answer the following (any 2)**	**15**
	A	Analyze the role of corporate finance	
	B	List any four points showing the importance of corporate finance.	
	C	Describe different types of preference shares with examples	

Q2 **Answer the following** **15**

A AB company needs Rs. 5,00,00,000 for the construction of a new plant. The following three financial plans are feasible

A. The company may issue 50000 ordinary shares of Rs. 10 each
B. The company may issue 25,00,000 ordinary shares of Rs. 10 each remaining amount may be collected by issue of 2,50,000 debenture of Rs. 100 each bearing an 8% rate of interest **15**
C. The company may issue 25,00,000 ordinary shares at Rs. 10 each and remaining amount as Preference shares of Rs.10 each bearing 8% rate of dividend

If the expected EBIT which the company may earn is Rs.40,00,000 the suggested which capital structure alternative the company should select assume tax rate of 50%

OR

B Using the information given below formulate an income statement for the year ended 31 st March for Nisha ltd

Particular	Alpha	Beta	Gamma
Capacity (100%)	60000	30000	40000
Actual Production & Sales	70%	80%	75%
Total Fixed Costs	400000	350000	250000
Selling Price Per unit	85.00	130.00	37.00
Variable Cost Per Unit	38.00	42.50	12.00
12.5% Loan from IDBI	10,00,000	6,00,000	8,00,000
Equity Share Capital	10,00,000	12,50,000	9,00,000

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Compute Earning Per Share, Operating Leverage, Financial Leverage, Combined Learning and give your recommendations

C Following are the details of Capital Structure of company Yara Ltd

Sources of Funds	Amount in Rs.	Cost of Capital after Tax
Equity Capital	400000	15%
Preference Shares	300000	8%
Debenture	200000	9%
Retain Earning	100000	11%

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Calculate Weighted Average Cost of Capital

Q 3 **Answer the following** **15**

A The Arora has the following capital structure

	Rs.
Equity Shares (400000 shares)	80,00,000
6% Preference Shares	20,00,000
8% Debenture	60,00,000
	1,60,00,000

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The share of the company sell for Rs. 20 . It is expected that Company will pay net year a dividend of Rs. 2 Per share which will grow at 7% Assume 35% tax rate

1. Compute Weighted average cost of capital based on existing capital structure and cost of Equity and Cost of Debt
2. Compute weighted average cost of capital if company raises additional Rs.40,00,000 debt by issuing 10% of debenture , Calculate the cost of capital if growth rate is 12%

OR

B The rate on return on stock Y under different state of economy are given below

Calculate the expected rate of return and standard deviation

Economic Conditions	Probability	Rate of Return
Boom	0.30	40
Normal	0.40	30
Recession	0.30	20

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C Chirangi ltd is under examination of a project which yield the following returns over a period of time

Year End	Gross Yield	PV factor 15%	PV factor 16%
1	8000	0.870	0.862
2	8000	0.756	0.743
3	9000	0.658	0.641
4	9000	0.572	0.552
5	7500	0.497	0.476

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The cost of machinery to be installed worked out Rs.20,000 and machine is to be depreciated by 20% (WDV) written down value basis. The income tax rate is 50% . If the average cost of raising capital is 18% would you recommend accepting project under IRR method.

Q 4 **Answer the following (any 2)** **15**

A A company has an investment opportunity costing Rs.4000 with the following expected net cash flow (i.e after taxes and depreciation)

Years	Net Cash Inflow Rs.	PVF 10%
1	7000	0.909
2	7000	0.826
3	7000	0.751
4	7000	0.683
5	7000	0.621
6	8000	0.564
7	10,000	0.513
8	15,000	0.467
9	10,000	0.424
10	4000	0.386

Using 10% as the cost of capital , determine NPV

B Critically evaluate the advantages and limitations of raising finance through public deposits.

C Explain the types of NBFCs with suitable examples